

Tuesday
us
Tuesday

classmate
Date _____
Page _____

Economics:-

Study of the process of providing for the material well-being of society

Providing (the security) of the basic needs of an individual

Primitive Self Sufficiency vs Modern Dependency

↓
without society

↓
in society

Specialization helps us thrive in society, along with cohesion.

Division of Labour:-

Specialised production, Trade & Exchange, Consumption, Increased Prosperity.

Vulnerability:- Dependence on Social Cohesion, we are rich as a society, not as individuals.

The problem of economics is rooted in scarcity.
not just because of nature, but because goods are not freely available, instead labour is requisite to bring it into a consumable form.

→ Unlimited Want/Limited Resources

Vicious cycle of scarcity and want/greed (often driven by social status) can intensify scarcity

Economics therefore studies the interaction b/w humans, income and production.

Two key tasks of Economic Society

- (i) Production :- Organize system to produce enough goods & services
- (ii) Distribution :- Arrange product distribution so that production can continue.

Mobilising Human Effort:-

To make people work

Devise social institutions to incentivise work.

We must apply labour to resources at hand, reducing ~~waste~~ waste and increasing efficiency.

Allocating Effort Wisely:-

- (i) Identify Needs
- (ii) Coordinate Tasks
- (iii) Balance Output

Sustaining Workers:-

Remuneration provides one with the capacity to acquire that which one does not produce, supporting specialization.

Workers cannot work efficiently if they do not get sufficient wages to sustain their lifestyles

Compensation should also be able to persuade people to perform their tasks.

Both too much and too little equality in distribution is irksome

Solutions?

- (i) Tradition:- Hereditary Jobs $\rightarrow$ stuck in positions $\rightarrow$ no incentive
- (ii) Command:- One power deciding distribution of resources
commonly used $\leftrightarrow$ Can rapidly enforce economic change
- (iii) Market:- Let everyone do what they please, no central planning
Heavily dependent on $\leftarrow$
Social Cohesion

Branches of Economics:-

- (i) Microeconomics $\leftarrow$ deals with the individual
- (ii) Macroeconomics $\leftarrow$ deals with the society [not the sum of individuals]
- (iii) Economic Growth $\leftarrow$ sustenance of production of goods & services
- (iv) Development Economics $\leftarrow$ Less developed nations trying to become better
- (v) Environmental Economics $\leftarrow$ Interaction b/w environment and economics
- (vi) Financial Economics $\leftarrow$ Money
- (vii) Econometrics $\leftarrow$ Methods to perform quantitative analyses

Three Economic Actors

- (i) Firms:- Businesses producing goods & services, hire workers
- (ii) Households:- Individuals who work, consume and provide labour
- (iii) Government:- Public institutions that collect taxes, provide services & regulate interactions b/w all actors

Circular Flow of Income :-

Check Slide for Image

Capital Goods:- Goods produced by firms for other firms

Supply Side of Economy:-

- ↳ Labour Market
- ↳ Product Market
- ↳ Production Activities
- ↳ Tech & Capital investments

Determines what can be produced, affects quality of goods & services, influences wages & shapes employment opportunities

Demand Side of Economy:-

- ↳ Household consumption
- ↳ Business Investment
- ↳ Net Exports
- ↳ Govt. Spending

GDP:-

Gross Domestic Product :- measures the monetary value of all final goods & services purchased by a final user are produced in a country in a given period of time.

product domestic

Demand $\leftarrow$ Goods in, money out

Supply $\leftarrow$ Money in, Goods out

"Gross" ← we do not include depreciation from wear & tear. Domestic

If that is also accounted for, we get Net Atom Product

GDP vs Gross National Product

↓

within the boundaries
of a country

produced by citizens, wherever they might be

Measuring GDP:-

① Expenditure Approach:- $\Sigma \text{ sum expenses} + \text{export} - \text{import}$

(ii) Production Approach:- sum of value of anything produced
- value of intermediate products

(iii) Income Approach:- Σ earnings (but only for households & firms)

All three approaches provide statistically similar results

GDP measures social progress

The bally slides are GPT generated T.T.
I'm not noting this idiom down.

~~Real GDP measures the actually~~

Environmental Cost of Growth:-

Household Work Debate

GDP excludes unpaid work done in the household.

If it is sold as a service, it is included in the GDP.

Inequality :-

Since it is an aggregate measure, distributional inequalities are not accounted for.

Blurred Boundaries, Free Value, Quality Improvement
Open Source Contribution $\leftarrow$

Let's play ~~spoth~~ spot the em-dash ! Now Fun !!

GDP can increase due to productivity not employment

Unemployment $\leftarrow$ % age of labour force looking for work, not finding any.

Subsistence Oriented Employed Activity. $\leftarrow$ informal economies ; unemployed people finding odd jobs to try to survive

Structural Transformation agriculture in

- $\hookrightarrow$ declining share of GDP and Employment.
- $\hookrightarrow$ migration to urban sector
- $\hookrightarrow$ rise of modern industrial & service sectors
- $\hookrightarrow$ demographic transition high birth / death rates to low bld rates

Haemorrhaging of workers from agriculture to other sectors will stop only when the income disparities decrease

Inflation & Unemployment

$\downarrow$

Sustained increase in general price levels

Philips Curve Trade off

Identified by AW Phillips

$$\text{Unemployment} \propto \frac{1}{\text{inflation}}$$

Inflation is considered to be demand driven and is accompanied by high growth

Stagflation $\leftarrow$ inflation + slow growth. (stagnation/recession)

Full Employment = 100% productivity

Fiscal Deficit:-

Measures the excess of government spending over its income (revenue without borrowing).

Expressed as a % of GDP. Austerity policies impose limits on this to maintain economic stability

We consider Fiscal Deficit to be bad because we equate governmental economics to the individual economics.

Neoclassical View $\uparrow$ FD $\rightarrow$ inflation $\rightarrow$ higher interest $\rightarrow$ crowding out private players. Assumes Full Employment

Keynesian View:- Argues FD is sustainable & beneficial if govt spending is directed towards productive investments & job creation during economic downturns. Assumes employment under capacity.

Different Schools of Thought:-

Each has some limitations, some assumptions, some emphasis. They have different judgements about good life, minority views

and morally acceptable ways to achieve progress

Classical School of Thought

Late 18th century: Adam Smith, Ricardo, Say, Malthus-

Cost based approach to value.

Labour Theory of Value

Viewed economy as made up of three classes:-

- (i) Capitalists $\leftarrow$ Largest Surplus
- (ii) Workers $\leftarrow$ Can be the same people - different roles.
- (iii) Landlords $\leftarrow$ Generate Surplus

The Invisible Hand:-

- $\hookrightarrow$ Self Interest $\leftarrow$ Individuals pursue self-interest better goods
- $\hookrightarrow$ Market Competition $\leftarrow$ Forces producers to supply and deliver and
- $\hookrightarrow$ Social Benefit $\leftarrow$ Max wealth at min cost nationally.

Market competition ensures economic balance.

Say's Law:- Supply creates its own demand. Income generated is equivalent to output value.

- $\hookrightarrow$ No natural recession due to demand shortfall.

Comparative Advantage:- Even if a country cannot produce anything cheaply, free trade allows it to maximise output through specialisation.

Malthusianism:- Population will outstrip food production, resulting in decreasing the population naturally.

Critical Flaws:-

Say's Law cannot explain recessions.

Neoclassical Economics:-

Individualistic approach. Argued economics to be a pure science approach.

Leave individuals alone except when markets malfunction.

Demand Matters $\leftarrow$ Value determined by consumer valuation, not just production costs.

Individual Focus $\leftarrow$ Individuals are rational-selfish beings, pleasure machines.

Exchange Over Production $\leftarrow$ Focus shifted from production to consumption/exchange

Pareto Criterion:-

Social Change is an improvement only when it makes someone better off without making anyone else worse off

Conservative Bias:- Pareto's Criterion maintains status quo

Market Failure Approach.

(i) Externalities $\leftarrow$ hidden costs/ben subsidies to change the rate of production [pollution tax etc]

(ii) Compensation Principle $\leftarrow$ Change is acceptable if losers are compensated.

(iii) Information Economics $\leftarrow$ Asymmetric information makes markets malfunction or cease to exist $\leftarrow$ Market for lemons

Strengths & Weaknesses



High precision and logical clarity from individual level analysis

Unrealistic assumption of rationality and selfishness.

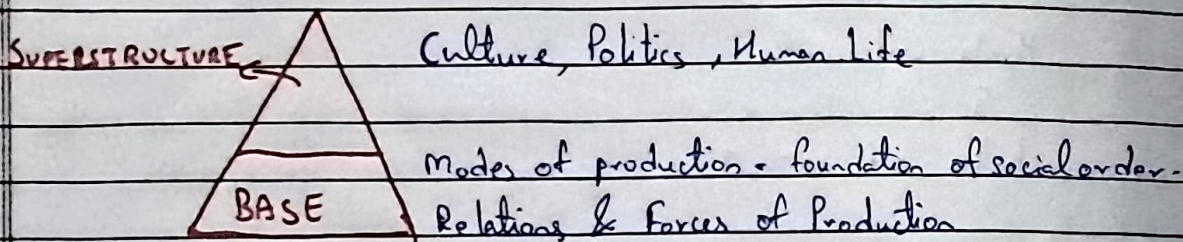
Very versatile, supports views from any point on the Left-Right Spectrum

Too accepting of status quo and existing power structures

Neglects production sphere /

Marxism:-

The history of hitherto existing society is history of economic struggle.



Production is the basis of social order. Every society is built on existing superstructures?

Class conflict & Capitalism's Collapse

Workers are active agents — gravediggers of capitalism

Work as Expression ← Allows Human creativity, not a disutility.

Firm vs Market ← Islands of rational planning in a sea of anarchy

Technology centrist approach

Deals with division of work across firms $\leftarrow$ failure of coordination

Check Slides Chat

Development Economics

Began in the 50's.

Industries must be protected in infant stage.

Some logic of economics does not apply to developed & developing nations.

~~Keynesian~~ Keynesian Macroeconomics

Macroeconomics = whole economy $\neq$ sum of its part.

What is good for the individual may not be good for the whole economy.

Government intervention is necessary to increase demand during recession by spending money.

Full employment is rare. Hence savings $\neq$ investment.

Pessimism in investors $\rightarrow$ fall in investment $\rightarrow$ recession

To bring the economy out of a Kull, a big spending must be done, only possible by govt

Hence Govt Fiscal Deficit is not problematic

In the early decades after independence, state's involvement was accepted cause of recession & WW2. But after 1990, neo-classical ideas came to fruition & state's involvement reduced

Economy during Independence:-

Poor, heterogeneous society

Just check slides TwT

Job-loss growth

% change in GDP to % change in employment $\leftarrow$ elasticity

India shall soon become an old & poor state

Labour force $\leftarrow$ people looking to work for wages

Women Labour force participation rate increased due to distress in GDP per capita, since one person's income was not sufficient for the family.